



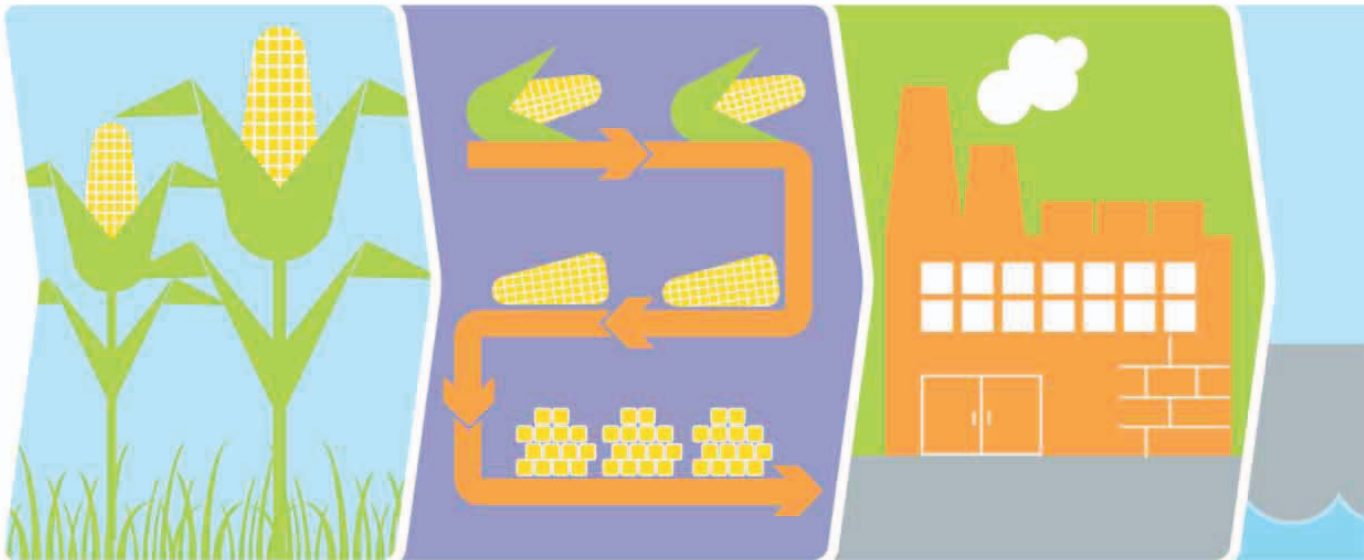
Supply chain

Along the journey from raw material to finished item in the hands of a consumer, every business needs an efficient supply chain. Supply chain management involves different organizations, people, activities, and resources to take, for example, grains of corn from a field to a finished box of cornflakes on the consumer's breakfast table. The company may outsource parts of the chain to other firms. It may also send some activities, typically administrative functions, offshore.

Supply chain management

The traditional supply chain takes raw materials and resources through to a finished product for the consumer. The company has to manage costs and ensure standards, being particularly careful that it does not harm people or

the environment along the way, from fair wages for labor at the source to recyclable packaging after consumption. Supply chain is big business—in the US, 4.2 million people are employed in warehousing and transport alone.



Raw materials and resources

Whether from a field or a mine, raw materials start somewhere.

Supplier and processor

The raw materials are processed, often near their source.

Manufacturer

Organizations bring resources together to manufacture goods, often near the customer.